

Knowledge Article: Procurement & Contract FAQ

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Q: What is the approval threshold for a new contract?

A: It depends on total contract value. Under \$10,000 requires only a Department Manager. Between \$10,000 and \$50,000 requires Director approval. Between \$50,000 and \$250,000 requires VP of Procurement approval. Anything over \$250,000 requires both CFO approval and a mandatory Legal Review. See Procurement Policy POL-PROC-001, Section 2.

Q: Is advance payment allowed?

A: Generally no. Advance payment is only allowed for new suppliers (fewer than 2 prior transactions) up to 20% of contract value, or with explicit written approval from the VP of Procurement. See POL-PROC-001, Section 3.

Q: Which policy governs contract termination?

A: Procurement Policy POL-PROC-001, Section 7. Standard terms are 15 days notice for termination for cause, or 30 days for termination for convenience, unless the contract negotiates a different period.

Q: What clauses are mandatory in every contract?

A: Scope of work, payment terms, contract validity period, termination conditions, a data privacy/confidentiality clause, and liability/ indemnification terms. See POL-PROC-001 Section 4 and POL-SEC-002 for the specific data privacy clause requirements.

Q: What happens if an invoice exceeds the contract value?

A: If it exceeds by more than 5% without an approved amendment on file, it must be flagged and routed back to the contract owner. If it exceeds the total contract value outright, this is a Fail, not a Warning, and payment must be blocked pending an amendment. See POL-PROC-001 Section 5 and Payment Policy POL-PAY-003 Section 5.

Q: Does every contract need a legal review?

A: Only if it exceeds \$250,000, involves third-party data sharing, or has non-standard termination/liability terms. See SOP-CA-010 Step 3.